

Name: _____



Running a small business

Task A: Profit in percentages

1) Fill in the blanks for this small business' first few years of results and comment on how their profit margin is changing.

	Gross profit	Revenue	Gross profit margin
Year one	£0	£12 000	0%
Year two	£1000	£20 000	
Year three		£48 000	12.5%
Year four	£20 000		40%
Year five	£24 500	£56 000	

2) Calculate the gross profit margin for each of these items for this new paddleboard shop.

$$\text{Gross profit margin (\%)} = \frac{\text{Selling price} - \text{Cost price}}{\text{Selling price}} \times 100$$

a) 10 ft paddleboard: Selling price £575, cost price £373.75

b) 12 ft paddleboard: Selling price £650, cost price £390

c) Carbon paddle: Selling price £110, cost price £82.50

d) Buoyancy aid: Selling price £60, cost price £34.50

e) Comment on which product is not achieving their 30% gross profit margin target and advise on what they should do.

3) a) By completing a spreadsheet or otherwise, calculate the minimum selling price and gross profit margins for this bicycle shop's products.

Product	Cost price	Min. selling price	Actual selling price	Gross profit %
Tyres (min 20% g.p.)				
Road bike tyre	£14.00		£19.50	
Mountain bike tyre	£16.00		£22.00	
Mountain bike (extra wide)	£19.00		£25.00	
Anti-puncture tyre	£21.00		£25.00	
Pedals (min 30% g.p.)				
Studded road bike (pair)	£26.00		£38.00	
Studded mountain bike (pair)	£28.00		£40.00	
Cleated road bike (single)	£18.00		£26.00	
Cleated road bike (pair)	£34.50		£48.00	
Brakes (min 45% g.p.)				
Pads (pair)	£4.20		£13.00	
Cable (single)	£1.20		£4.75	

b) Comment on any products not achieving minimum gross profit margins.

c) Advise the business as to which products they should place most prominently in their shop.



Task B: Tracking performance

1) Here are the first three years of sales for a new small business.

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Y1 revenue (000's)	8.0	8.4	9.0	8.3	11.0	10.7	9.8	11.1	12.5	17.0	27.2	38.4
Y2 revenue (000's)	7.6	7.8	9.1	10.2	9.7	8.8	10.3	10.1	14.2	21.0	38.4	49.4
Y3 revenue (000's)	9.7	10.1	9.9	12.3	9.5	9.8	11.4	12.5	13.6	20.7	47.0	61.6

a) Calculate the mean and range for each year and comment on any changes year-on-year.

b) Comment on any patterns you spot in the data.

